and purely subjective. The race-track gambler, betting on a "sure thing," is convinced that his commitment is safe. The 1929 "investor" in high-priced common stocks also considered himself safe in his reliance upon future growth to justify the figure he paid and more.

Standards of Safety. The concept of safety can be really useful only if it is based on something more tangible than the psychology of the purchaser. The safety must be assured, or at least strongly indicated, by the application of definite and well-established standards. It was this point which distinguished the bank-stock buyer of 1912 from the common-stock investor of 1929. The former purchased at price levels which he considered conservative in the light of experience; he was satisfied, from his knowledge of the institution's resources and earning power, that he was getting his money's worth in full. If a strong speculative market resulted in advancing the price to a level out of line with these standards of value, he sold his shares and waited for a reasonable price to return before reacquiring them.

Had the same attitude been taken by the purchaser of common stocks in 1928–1929, the term *investment* would not have been the tragic misnomer that it was. But in proudly applying the designation "blue chips" to the high-priced issues chiefly favored, the public unconsciously revealed the gambling motive at the heart of its supposed investment selections. These differed from the old-time bank-stock purchases in the one vital respect that the buyer did not determine that they were worth the price paid by the application of firmly established standards of value. The market made up new standards as it went along, by accepting the current price—however high—as the sole measure of value. Any idea of safety based on this uncritical approach was clearly illusory and replete with danger. Carried to its logical extreme, it meant that no price could possibly be too high for a good stock, and that such an issue was equally "safe" after it had advanced to 200 as it had been at 25.

A Proposed Definition of Investment. This comparison suggests that it is not enough to identify investment with expected safety; the expectation must be based on study and standards. At the same time, the investor need not necessarily be interested in current income; he may at times legitimately base his purchase on a return which is accumulating to his credit and realized by him after a longer or shorter wait. With these observations in mind, we suggest the following definition of investment